UNIT 5

ADMISSION OF A PARTNER

Contents

5.1 Introduction
5.2 Adjustments required at the time of admission of a partner
5.3 Distribution of accumulated profits, reserves and losses
5.4 Revaluation of assets and liabilities
5.5 New profit sharing ratio and Sacrificing ratio
5.6 Adjustment for goodwill
5.7 Adjustment of capital on the basis of new profit sharing ratio

Points to recall

The following points are to be recalled before learning admission of a partner:

- Meaning and features of partnership firm
- Partnership deed
- Partners' capital accounts
- Valuation of goodwill

Learning objectives

To enable the students to

- Understand the accounting treatment at the time of admission of a partner
- Prepare revaluation account, capital accounts and balance sheet of the firm after admission of a partner.

Key terms to know

- Admission of a partner
- Sacrificing ratio
- Revaluation account

ZA74SS

12th-Accountancy-Unit-05.indd 137 1/4/2020 12:00:37 PM